

ARABIAN FOOD INDUSTRIES COMPANY
(DOMTY) - S.A.E AND ITS SUBSIDIARY

CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2023
TOGETHER WITH AUDITOR'S REPORT

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary
CONSOLIDATED FINANCIAL STATEMENTS
For the Year ended 31 December 2023

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Nabil & Samaha & Partners
Public Accountants & Consultants

Allied for Accounting & Auditing - EY
Public Accountants & Consultants

**INDEPENDENT AUDITOR'S REPORT TO THE BOARD OF DIRECTORS OF
ARABIAN FOOD INDUSTRIES COMPANY (DOMTY) S.A.E
ON THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS**

Introduction

We have audited the accompanying consolidated financial statements of **Arabian Food Industries Company (DOMTY) – S.A.E** (the “Company” or the “Parent”) and its subsidiary (“the Group”), represented in the consolidated statement of financial position as at 31 December 2023 and the related consolidated statements of profit or loss, statement of comprehensive income, changes in shareholders' equity and cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Management's Responsibility for the Financial Statements

These financial statements are the responsibility of the Company's management, as management is responsible for the preparation and fair presentation of the financial statements in accordance with the Egyptian Accounting Standards and applicable Egyptian law. Management responsibility includes designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error. This responsibility also includes selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditor's Responsibility

Our responsibility is to express an opinion on financial statements based on our audit. We conducted our audit in accordance with the Egyptian standards on auditing and applicable Egyptian laws. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance that the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's professional judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on these consolidated financial statements.

Nabil & Samaha & Partners
Public Accountants & Consultants

Allied for Accounting & Auditing - EY
Public Accountants & Consultants

**INDEPENDENT AUDITOR'S REPORT TO THE BOARD OF DIRECTORS OF
ARABIAN FOOD INDUSTRIES COMPANY (DOMTY) S.A.E
ON THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS - Continued**

Opinion

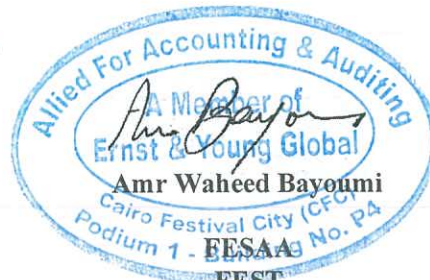
In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2023 and its consolidated financial performance and its consolidated cash flows for the year then ended, in accordance with the Egyptian Accounting Standards and the Egyptian laws and regulations relating to the preparation of these consolidated financial statements.



Dr Nabil Ahmed Abdel Majeed

FESAA
CBE Register No. 203
R.A.A (3155)
EFSA (166)

Auditors



FESAA
FEST
R.A.A (17555)
EFSA (358)

Cairo: 10 March 2024

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

As of 31 December 2023

	Note	31 December 2023 LE	31 December 2022 LE
Assets			
Non-current assets			
Property, plant and equipment	(3)	776,875,848	693,270,370
Projects under construction	(4)	38,909,533	102,537,315
Investment in associates	(5)	3,365,395	4,018,553
Total non-current assets		819,150,776	799,826,238
Current assets			
Inventories	(6)	894,981,615	572,087,082
Accounts and notes receivable	(7)	938,184,238	591,657,820
Prepayments and other debit balances	(8)	434,976,393	262,894,317
Financial investment at amortized cost (Treasury bills)	(9)	-	432,491,851
Cash on hand and at banks	(10)	522,517,539	440,158,488
Total current assets		2,790,659,785	2,299,289,558
Total assets		3,609,810,561	3,099,115,796
Equity			
Issued and paid-up capital	(16)	56,521,739	56,521,739
Legal reserve		28,260,870	28,260,870
Special reserve (Share premium)	(16)	283,422,423	283,422,423
Other reserves		170,196	170,196
Retained earnings	(17)	918,860,889	735,481,971
Revaluation surplus	(36)	18,305,818	25,045,008
Merger reserve	(27)	(4,503,358)	(4,503,358)
Equity attributable to equity holders of the parent		1,301,038,577	1,124,398,849
Non-Controlling interest		8,170	9,438
Total equity		1,301,046,747	1,124,408,287
Non-current liabilities			
Term loans – non-current portion	(15)	117,969,038	130,598,717
Lease liabilities – non-current portion	(30)	21,866,769	31,921,473
Long term notes payable	(13)	12,910	10,337
Deferred tax liabilities	(19)	32,160,667	34,768,351
Total non-current liabilities		172,009,384	197,298,878
Current liabilities			
Short term credit facilities	(12)	1,363,122,686	1,247,679,118
Term loans - current portion	(15)	65,183,311	28,529,643
Lease liabilities – current portion	(30)	11,865,775	11,850,672
Trade and notes payable	(13)	293,868,195	229,886,487
Machines installments – current portion	(18)	-	2,106,060
Provisions	(11)	57,858,370	22,193,416
Accrued expenses and other credit balances	(14)	198,873,843	138,201,762
Income tax payable	(19)	145,982,250	96,961,473
Total current liabilities		2,136,754,430	1,777,408,631
Total Liabilities		2,308,763,814	1,974,707,509
Total equity and liabilities		3,609,810,561	3,099,115,796

Finance Managing Director
Mr. Mohamed Abdelbaky Abdelrahman

Chairman
Eng. Omar Mohamed El Domaty

- The accompanying notes from (1) to (38) are an integral part of these consolidated financial statements.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

CONSOLIDATED STATEMENT OF PROFIT OR LOSS

For the year ended 31 December 2023

	Note	2023	2022
		LE	LE
Sales	(31)	7,504,449,870	5,082,060,595
Cost of sales	(31)	(5,924,735,252)	(3,946,629,934)
GROSS PROFIT		1,579,714,618	1,135,430,661
Selling and marketing expenses	(20)	(735,282,187)	(621,472,614)
General and administrative expenses	(21)	(78,055,261)	(84,876,954)
Net other operating income	(22)	111,806,371	53,291,312
Provisions no longer required	(9)	5,969,392	48,125
Equity in losses of associate	(5)	(653,158)	(611,300)
Impairment in Financial investment at amortized cost (Treasury bills)	(9)	-	(584,502)
Other Provisions	(11)	(42,528,993)	(17,360,800)
OPERATING PROFIT		840,970,782	463,863,928
Loss on sale of Trading Securities	(23)	-	(17,876,887)
Finance income	(24)	61,386,227	39,048,252
Finance expenses	(25)	(284,546,991)	(120,983,886)
PROFIT BEFORE CONTRIBUTION IN COMPREHENSIVE INSURANCE AND INCOME TAXES		617,810,018	364,051,407
Contribution in Comprehensive Insurance		(19,996,861)	(13,428,920)
Income tax expenses	(19)	(143,374,566)	(84,920,322)
PROFIT AFTER DEDUCTION OF CONTRIBUTION IN COMPREHENSIVE INSURANCE AND INCOME TAXES		454,438,591	265,702,165
Attributable to:			
Equity holders of the Parent		454,438,562	265,701,857
Non-Controlling interest		29	308
		454,538,591	265,702,165
Earning per share	(28)	1.30	0.76

-The accompanying notes from (1) to (38) are an integral part of these consolidated financial statements.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

For the year ended 31 December 2023

	2023	2022
	LE	LE
Profit for the year	454,438,591	265,702,165
Profit Attributable to:		
Equity holders of the Parent	454,438,562	265,701,857
Non-Controlling interest	29	308
Total comprehensive income	454,438,591	265,702,165
Basic and diluted earnings per share in profits for shareholders of the parent company	1.30	0.76

-The accompanying notes from (1) to (38) are an integral part of these consolidated financial statements.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

For the year ended 31 December 2023

	Issued and paid-up capital	Legal reserve	Special reserve- share premium	Other reserves	Retained earnings	Fixed assets revaluation surplus	Merger reserve	Total	Non- Controlling interest	Total equity
	LE	LE	LE	LE	LE	LE	LE	LE	LE	LE
Balance as of 1 January 2022	56,521,739	28,260,870	283,422,423	170,196	462,285,065	32,540,057	(4,503,358)	858,696,992	9,130	858,706,122
Transferred from Fixed assets revaluation surplus to retained earnings according to option 3 – appendix A - EAS No. 13 revised Note (36)	-	-	-	-	7,495,049	(7,495,049)	-	-	-	-
Profit for the year	-	-	-	-	265,701,857	-	-	265,701,857	308	265,702,165
Balance as of 31 December 2022	56,521,739	28,260,870	283,422,423	170,196	735,481,971	25,045,008	(4,503,358)	1,124,398,849	9,438	1,124,408,287
Balance as of 1 January 2023	56,521,739	28,260,870	283,422,423	170,196	735,481,971	25,045,008	(4,503,358)	1,124,398,849	9,438	1,124,408,287
Transferred from Fixed assets revaluation surplus to retained earnings according to option 3 – appendix A - EAS No. 13 revised Note (36)	-	-	-	-	6,739,190	(6,739,190)	-	-	-	-
Paid dividends	-	-	-	-	(277,798,834)	-	-	(277,798,834)	(1,297)	(277,800,131)
Profit for the year	-	-	-	-	454,438,562	-	-	454,438,562	29	454,438,591
Balance as of 31 December 2023	56,521,739	28,260,870	283,422,423	170,196	918,860,889	18,305,818	(4,503,358)	1,301,038,577	8,170	1,301,046,747

- The accompanying notes from (1) to (38) are an integral part of these consolidated financial statements.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

CONSOLIDATED STATEMENT OF CASH FLOWS

For the year ended 31 December 2023

	Note	2023 LE	2022 LE
OPERATING ACTIVITIES			
Profit before income taxes and minority share in profit		597,813,157	350,622,487
Depreciation of property, plant and equipment	(3)	106,725,315	96,395,767
Interest on treasury bills	(24)	(52,678,528)	(38,453,547)
Accrued withholding tax on treasury bills interest	(9)	-	3,096,544
Adjustment on accrued withholding tax on treasury bills interest		(3,096,544)	(3,548,877)
Interest on lease liability	(25)	3,727,374	4,311,150
Foreign exchange differences on lease liabilities	(30)	1,811,069	4,562,101
Foreign exchange differences on loan balances	(15)	4,632,906	10,600,609
Equity in Losses of associate	(5)	653,158	611,300
Provisions	(11)	42,528,993	17,360,800
Impairment of accounts and notes receivables	(7)	16,650,555	39,281,652
Impairment of prepayments and other debit balances	(8)	1,563,392	2,829,238
Impairment of treasury bills	(9)	-	584,502
Provisions no longer required – treasury bills	(9)	(2,005,886)	-
Provisions no longer required	(8)	(3,963,506)	(48,125)
Provision used	(11)	(2,900,533)	(1,952,497)
Loss on sale of trading security	(23)	-	17,876,887
(Gain) from sale of property, plant and equipment	(3)	(11,221,021)	(366,611)
(Gain) from disposal of right of use assets		-	(90,511)
		<u>700,239,901</u>	<u>503,672,869</u>
Change in inventories		(322,894,533)	(57,831,783)
Change in accounts and notes receivable		(363,176,973)	6,298,335
Change in prepayments and other debit balances		(192,732,721)	(57,096,808)
Change in trade and notes payable		63,101,267	(133,988,479)
Change in accrued expenses and other credit balances		<u>60,672,081</u>	<u>55,493,044</u>
CASH FLOWS (USED IN) PROVIDED FROM OPERATING ACTIVITIES		(54,790,978)	316,547,178
Income tax paid		(76,916,952)	(31,290,539)
Income tax deducted from collected treasury bills interest		<u>(13,632,249)</u>	<u>(8,143,042)</u>
NET CASH FLOWS (USED IN) PROVIDED FROM OPERATING ACTIVITIES		(145,340,179)	277,113,597
INVESTING ACTIVITIES			
(Payments) to Purchase property, plant and equipment	(3)	(128,368,182)	(35,358,747)
Proceeds from sale of property, plant and equipment	(3)	30,119,740	794,920
(Payments) to acquire projects under construction	(4)	(5,781,613)	(74,650,074)
(Payments) to acquire trading securities		-	(80,005,902)
Proceeds from sale of trading securities		-	62,129,015
Proceeds from treasury bills interest		68,161,247	40,715,211
(Payments) to acquire treasury bills		(424,327,191)	(630,773,173)
Proceeds from matured treasury bills		<u>846,438,753</u>	<u>467,809,788</u>
NET CASH FLOWS PROVIDED FROM (USED IN) INVESTING ACTIVITIES		386,242,754	(249,338,962)
FINANCING ACTIVITIES			
Proceeds from credit facilities		10,020,111,437	6,259,301,387
(Payment) of credit facilities		(9,904,667,869)	(6,021,070,825)
Proceeds from long term loans		54,331,811	55,399,271
(Payment) of long-term loan		(34,940,728)	(30,851,568)
(Payment) of lease interest	(30)	(3,727,374)	(4,311,150)
(Payment) of lease liabilities	(30)	(11,850,670)	(10,025,368)
(Payment) of Dividends		<u>(277,800,131)</u>	<u>-</u>
NET CASH FLOWS PROVIDED FROM FINANCING ACTIVITIES		(158,543,524)	248,441,747
Net increase in cash and cash equivalent during the year		82,359,051	276,216,382
Cash and cash equivalent - beginning of the year		<u>440,158,488</u>	<u>163,942,106</u>
CASH AND CASH EQUIVALENT – END OF THE YEAR	(10)	522,517,539	440,158,488

Significant non-cash transactions:

- Machinery and equipment of EGP 11,451,935 transferred from advances to suppliers of fixed assets.
- The accompanying notes from (1) to (38) are an integral part of these consolidated financial statements.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

1- REPORTING ENTITY

Arabian Food Industries Company (DOMTY) – S.A.E (the "Company") or (the "Parent") was originally established under the name of Damati Company for Food Industries as a limited liability company under contract No. 18/84 dated 14 March 1984. The contract was amended on 18 July 1988 when the Company's headquarters changed, and on 14 August 1988 an Extraordinary General Assembly meeting was held and resolved to change the company's legal form from limited liability company to joint stock company subject to the Companies Law No. 159 of 1981 and its executive regulations.

Based on the shareholders resolution made in the Extraordinary General Assembly meeting held on 16 August 2005 the Company's name was changed to Domty Company for Food Industries "S.A.E"

Based on the shareholders resolution made in the Extraordinary General Assembly meeting held on 6 August 2006 the company name changed to Arabian Food Industries Company (Domty) S.A.E instead of Domty Company for Food Industries and the commercial register was amended.

The Company has been registered under the commercial register number 80124 on 7 September 1988.

The company's period is 50 years starting from 7 September 1988 till 6 September 2038 and is renewable.

The Company's headquarter is located at 32 c Taha Hussein Street, previously Murad Street - Giza

Location of activity:

- 1- Second Industrial Zone, Block 12, 6th of October City.
- 2- Northern Expansion Area (CBC) – 6th of October City, Blocks (43-44-45-46-63-64-65-66)

The board of directors can decide to set up branches or agencies for the company in Egypt or outside, except for Sinai Peninsula. The entity is obliged to agree prior to opening any branches or in the case of relocating the headquarters to another governate, must be based on the decision of the extraordinary general assembly.

The purpose of the company is to manufacture dairy products of all kinds (ice cream - yogurt - white cheese and processed cheese - sterile milk) as well as the expansion in the manufacture of other food products, reclamation and cultivation of land, the establishment of feed factories, dairy production farms, cattle breeding, all food industries, the manufacture of special foods, nutritional supplements and baked goods of all kinds, the import of processed and semi-processed foodstuffs from abroad, packaging and distribution, the sale and marketing of products and food manufactures for the account of others from local and foreign companies and agencies in the food manufacturing industry.

It has the right to participate in companies with similar activity and the use of foreign expertise in the areas of previous activity, to obtain the right to know from foreign companies with similar activity. The company has the right to import all production requirements necessary for its activity and export all its products to global markets, and the company may have an interest or participate in any way with entities that engage in similar business, or that may cooperate to achieve its purpose in Egypt or abroad.

The consolidated financial statements comprise the financial statements of Domty Company and its subsidiary, El Tatweer Food Industries Company (S.A.E) (collectively, the "Group").

On 30 April 2014 the Company acquired 99.99% of the shares of El Tatweer Food Industries Company (S.A.E) (note 2). The consolidated financial statements include the financial statements of Domty and its subsidiary El Tatweer Food Industries Company (S.A.E).

On 16/11/2023, it was marked the approval for increase of capital for El Tatweer Food Industries by EGP 58 million, leading to the issued and paid-up capital to reach EGP 68 million distributed on 680,000 shares. Including 679,998 shares acquired reaching 99.9997%.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

1 - REPORTING ENTITY (Continued)

EL Tatweer Food Industries Company was established as a joint stock company subject to the Companies Law No. 8 of 1997 and its regulations and for the purpose of establishing and operating a factory for the manufacture of different kinds of cheese, canning fruits and juice and the establishing of stores and a refrigerator for dairy products by cooling and freezing for the Company and for others, subject to the laws and its regulations.

The Company is registered under the commercial register number 37566 in the 11 March 2009.

The financial statements of the Company for the year ended 31 December 2023 were authorized for issuance in accordance with a resolution of the board of directors on 10 March 2024.

2 - BASIS OF PREPARATION OF THE CONSOLIDATED FINANCIAL STATEMENTS

The consolidated financial statements have been prepared under the going concern assumption on a historical cost basis.

The financial statements are prepared and presented in Egyptian pounds, which is the company's functional currency.

On 30 April 2014, the Company acquired 99.99% El Tatweer for Food Industries Company (S.A.E) that was previously under the control of the shareholders of the Parent (the "Joint Control Transaction") for LE 10,752,733 in cash. As this transaction involved the combination of businesses under joint control, the pooling of interest in presenting the consolidated financial statements for the years ending 2012, 2013, 2014. It displays the group's results as if El Tatweer for Food Industries Company was always a part of the group. Based on this, the company's assets and liabilities were transferred using historical cost. The consolidated financial statements show the group's activity results and changes in owner's equity of the company and its subsidiary as if it were part of the group for the years. The method of accounting was applied in the presentation of the consolidated financial statements as of 31 December 2012, 2013, 2014 which present the results of the Group as if El Tatweer for Food Industries Company (S.A.E) had always been part of the Group. Accordingly, the assets and liabilities transferred to the Company were recognized at historical amounts. The consolidated financial statements present the results and changes in equity of the Company and its subsidiary as if the Group had been in existence throughout the years presented. On 24 May 2022, the investments of the Arab Food Industries Company "Domty" in El Tatweer for Food Industries Company (S.A.E) were increased by an amount of 3,750,000 Egyptian pounds, and this amount represents the value of completing the capital increase of the El Tatweer for Food Industries Company (S.A.E) AT 26 October 2023.

Statement of compliance

The financial statements of the company have been prepared in accordance with the Egyptian Accounting Standards and the applicable laws and regulations. The accounting policies applied this year are consistent with those applied in the previous year.

Basis of consolidation

(a) Subsidiaries

Subsidiaries are all entities over which the Group has the power to govern the financial and operating policies generally a shareholding of more than one half of the voting rights. The existence and effect of potential voting rights that are currently exercisable or convertible are considered when assessing whether the Group controls another entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are de-consolidated from the date that control ceases.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

2 - BASIS OF PREPARATION OF THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

Basis of consolidation

(a) Subsidiaries

Accounting for business combination under EAS 29 only applies if it is considered that a business has been acquired. For acquisitions meeting the definition of a business, the purchase method of accounting is used to account for the acquisition of subsidiaries by the Group. The cost of an acquisition is measured as the fair value of the assets given, equity instruments issued, and liabilities incurred or assumed at the date of exchange, plus costs directly attributable to the acquisition. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date, irrespective of the extent of any non-Controlling interest. The excess of the cost of acquisition over the fair value of the Group's share of the identifiable net assets acquired is recorded as goodwill. If the cost of acquisition is less than the fair value of the net assets of the subsidiary acquired, the difference is recognized directly in the statement of income.

Inter-company transactions, balances and unrealized gains on transactions between Holding company and its subsidiary are eliminated. Unrealized losses are also eliminated. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

(b) Transactions with Non-Controlling interests

The Group applies a policy of treating transactions with non-Controlling interests as transactions with equity owners of the Group. For purchases from non-Controlling interests, the difference between any consideration paid and the relevant share acquired of the carrying value of the net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-Controlling interests are also recorded in equity.

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES

The preparation of these Consolidated financial statements requires management to make judgments and estimates that affect the reported amounts of revenues, expenses, assets and liabilities, the accompanying disclosures and the disclosure of contingent liabilities at the reporting date. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the assets or liabilities affected in future periods.

Estimates and their underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised.

The key judgements and estimates that have a significant impact on the Consolidated financial statement of the Company are discussed below:

2-2-1 Judgments

Revenue recognition for sale of goods

In making their judgment, management considered the detailed criteria for the recognition of revenue from the sale of goods as set out in "EAS 48 Revenue from contracts with customers", and whether the significant risks and rewards of ownership of the goods have passed to the buyer.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES STATEMENTS (Continued)

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES (Continued)

2-1-2 Estimates

Impairment of trade and other receivables

An estimate of the collectible amount of trade and other receivables is made when collection of the full amount is no longer probable. For individually significant amounts, this estimate is performed on an individual basis. Amounts which are not individually significant, but are past due, are assessed collectively and a provision is applied according to the length of time past due, based on historical recovery rates.

Useful lives of fixed assets

The company's management determines the estimated useful life of fixed assets for the purpose of calculating depreciation. The residual value of the fixed asset and its estimated useful life are reviewed at least at the end of each fiscal year - and when expectations differ from previous estimates, that change (changes) is treated as a change in an accounting estimate in accordance with Egyptian Accounting Standard No. (5) "Accounting Policies and Changes in Estimates" Accounting and Errors "in order to ensure that the method and duration of depreciation are consistent with the expected pattern of economic benefits arising from these assets. Accordingly, the estimated useful life of the item of machinery and equipment (bakery line) has been changed to 15 years instead of 10 years for the mechanical parts of the bakery line.

Taxes

The Company is subject to income taxes in Egypt. Significant judgment is required to determine the total provision for current and deferred taxes. The Company establishes provision, based on reasonable estimates, for possible consequences of audits by the tax authorities in Egypt. The amount of such provision is based on various factors, such as experience of previous tax audits and different interpretations of tax regulations by the Company and the responsible tax authority. Such differences of interpretations may be on a wide variety of issues depending on the conditions prevailing in Egypt.

Deferred tax assets are recognised for unused accumulated tax losses to the extent that it is probable that taxable profits will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits.

Impairment of non-financial assets

The Company assesses whether there are any indicators of impairment for all non-financial assets at each reporting date. The non-financial assets are tested for impairment when there are indicators that the carrying amounts may not be recoverable. When value in use calculations is undertaken, management estimates the expected future cash flows from the asset or cash-generating unit and chooses a suitable discount rate in order to calculate the present value of those cash flows.

Provision for sales returns

The company's management determines the estimates of the provision for sales returns. This estimate is determined after considering the previous experience of sales returns, revenue volume and sales volume, and management periodically reviews the estimated provision value to ensure that the provision is sufficient to cover sales returns.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES STATEMENTS (Continued)

2-2 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES (Continued)

2-2-1 Foreign currency translation

Transactions in foreign currencies are initially recorded using the exchange rate prevailing on the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies are retranslated using the exchange rate prevailing at the reporting date. All differences are recognized in the statement of income.

Nonmonetary items that are measured at historical cost in foreign currency are translated using the exchange rates prevailing at the date where the fair value was determined.

2-2-2 Financial Instruments

Egyptian Accounting Standard 47 "Financial Instruments" which replaced the Egyptian Accounting Standard 26 Financial Instruments: Recognition and Measurement. Egyptian Accounting Standard 47 was issued in 2019 and the standard began to be applied on or after 1 January 2021 in Egypt. Except for hedge accounting, retrospective application is required, but adjustment of comparative information is not mandatory.

The standard addresses three aspects of accounting for financial instruments: classification and measurement; impairment; and hedge accounting.

Classification and measurement

Under EAS 47, debt instruments are subsequently measured at fair value through profit or loss, amortized cost, or fair value through OCI. The classification is based on two criteria: The Company's business model for managing the assets; and whether the instruments' contractual cash flows represent 'solely payments of principal and interest' on the principal amount outstanding.

The assessment of the Company's business model was made as of the date of initial application and the assessment of whether contractual cash flows on debt instruments are solely comprised of principal and interest was made based on the facts and circumstances as at the initial recognition of the assets.

Impairment

The new impairment model according to EAS 47 requires the recognition of impairment provisions based on expected credit losses rather than only incurred credit losses as is the case under EAS 26. It applies to financial assets classified at amortized cost, debt instruments measured at fair value through other comprehensive income, contract assets under EAS 48 Revenue from Contracts with Customers, lease receivables, loan commitments and certain financial guarantee contracts.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES STATEMENTS (Continued)

2-2 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES (Continued)

2-2-2 Financial Instruments (Continued)

Financial instruments – initial recognition and subsequent measurement

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

i) Financial assets

Financial assets are classified, at initial recognition, as subsequently measured at amortized cost, fair value through other comprehensive income (OCI), and fair value through profit or loss.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Company's business model for managing them.

For a financial asset to be classified and measured at amortized cost or fair value through OCI, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level. Financial assets with cash flows that are not SPPI are classified and measured at fair value through profit or loss, irrespective of the business model.

ii) Financial assets

The Company's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both. Financial assets classified and measured at amortized cost are held within a business model with the objective to hold financial assets in order to collect contractual cash flows while financial assets classified and measured at fair value through OCI are held within a business model with the objective of both holding to collect contractual cash flows and selling.

Impairment of financial assets

The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES STATEMENTS (Continued)

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES (Continued)

2-2-2 Financial Instruments (Continued)

ii) Financial assets (Continued)

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Company's historical experience and informed credit assessment, that includes forward-looking information.

The Company consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before considering any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash.

At each reporting date, the Company assesses whether financial assets carried at amortised cost and debt securities at FVOCI are credit impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

2-2-3 Lease Contracts

- EAS 49 replaces EAS 20 "Accounting for finance Leases". EAS 49 now requires lessees to recognize a lease liability reflecting future lease payments and a 'right-of-use asset' for virtually all lease contracts. There is an optional exemption of certain short-term leases and leases of low-value assets.
- The company assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period in exchange for consideration.
- The company applies a single recognition and measurement policy for all leases, except for short-term leases and leases of low-value assets.
- The company recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES STATEMENTS (Continued)

2-2 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES (Continued)

2-2-3 Lease Contracts (Continued)

A- Right-of-use assets

- The company recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use).
- Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received.
- Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets based on the entity's applied depreciation policy.
- If ownership of the leased asset transfers to the company at the end of the lease term or the cost reflects the exercise of a purchase option at the end of the contract, depreciation is calculated using the estimated useful life of the asset based on the entity's applied depreciation policy.
- The right-of-use assets are also subject to impairment.

B- Lease Liability

- At the commencement date, a lessee shall measure the lease liability at the present value of the lease payments that are not paid at that date. The lease payments shall be discounted using the interest rate implicit in the lease if that rate can be readily determined. If that rate cannot be readily determined, the lessee shall use the lessee's incremental borrowing rate.
- At the commencement date, the lease payments included in the measurement of the lease liability comprise the following payments for the right to use the underlying asset during the lease term that are not paid at the commencement date:
 - Fixed payments, less any lease incentives receivable.
 - Variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date.
 - Amounts expected to be payable by the lessee under residual value guarantees.
 - The exercise price of a purchase option if the lessee is reasonably certain to exercise that option.
 - Payments of penalties for terminating the lease, if the lease term reflects the lessee exercising an option to terminate the lease.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES STATEMENTS (Continued)

2-2 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES (Continued)

2-2-4 Revenue from contracts with customers

- Egyptian Accounting Standard No. (48) "Revenue from contracts with customers" requires enterprises to exercise judgment and consider all relevant facts and circumstances when applying each step of the model to contracts with customers. The standard also specifies the method for calculating the incremental costs of obtaining a contract and the costs directly related to the performance of the contract. The standard also requires relevant disclosures.
- The new Egyptian Accounting Standard No. (48) "Revenue from contracts with customers" sets a new five-step model, which will be applied to revenue arising from contracts with customers as follows:
 - **Step 1:** Defining the contract(s) with the customer: A contract is defined as an agreement between two or more parties that creates enforceable rights and obligations. It outlines the bases and criteria that must be met for each contract.
 - **Step 2:** Identify the performance obligations in the contract: A performance obligation is an undertaking in the contract, a contract with the customer, to transfer a good or service to the customer.
 - **Step 3:** Determine the transaction price: The transaction price is the amount of consideration that the company expects to be entitled to in exchange for transferring promised goods or services to the customer, excluding amounts collected on behalf of third parties.
 - **Step 4:** Allocate the transaction price to the performance obligations stipulated in the contract. For contracts that contain more than one performance obligation, the Group will allocate the transaction price to each performance obligation at the amount to which the Group expects to be entitled in exchange for meeting each performance obligation.
 - **Step 5:** Recognize revenue when the facility fulfils the performance obligation.
- **Sale of Goods**
The company's contracts with customers involve the sale of finished goods and generally include a single performance obligation. The Company has concluded that revenue from the sale of finished goods should be recognized when control of the asset is transferred to the customer, generally when the finished goods are delivered. Therefore, the application of the standard does not have any impact on the timing of revenue recognition.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES STATEMENTS (Continued)

2-2 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES (Continued)

2-2-4 Revenue from contracts with customers (Continued)

- **Rights of return**

When the contract provides for giving the customer the right to return the goods within a specified period, the Group has taken in its previous estimates the expected returns using the probability-weighted average method of the amounts expected to be returned.

The amount of revenue related to the expected returns was deferred and included in the statement of financial position under the "Liability against expected sales return" item with a corresponding adjustment to the "Cost of sales" item. The carrying amount of the goods expected to be returned is included in the "Inventory".

Under Egyptian Accounting Standard No. (48), the price received from the customer is variable because the contract allows the customer to return the products. The Group used the expected value method to estimate the goods to be returned.

Revenue recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the company and the revenue can be reliably measured.

Revenue is measured at the fair value of the consideration received, excluding discounts, rebates to customers and sales taxes or duty.

The following specific recognition criteria must also be met before revenue is recognized:

- * **Sale of goods**

Revenue from the sale of goods is recognized when the significant risks and rewards of ownership of the goods have passed to the buyer, usually on delivery of the goods. Revenue from the sale of goods is measured at the fair value of the consideration received or receivable, net of returns and allowances, trade discounts and volume rebates, if any.

- * **Interest income**

Interest income is recognized as interest accrues using the effective interest method. Interest income is included in finance income in the statement of income.

- * **Government grants**

Government grants that are received as compensation for expenses or losses already incurred for the purpose of giving immediate financial support to the company with no further related costs are recognized in the income statement in the year in which they become virtually certain, and all attached conditions are complied with.

- * **Export support revenue**

Revenues for export subsidies are recognized as accrued revenue when the export invoice is issued.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES STATEMENTS (Continued)

2-2 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES (Continued)

2-2-5 Property, plant and equipment and its depreciation

Property, plant, and equipment are stated at historical cost net of accumulated depreciation and accumulated impairment losses and the difference of foreign exchange difference will be added according to EAS 13-A (the effect of change in foreign exchange). Such cost includes the cost of replacing part of the plant and equipment.

when that cost is incurred, if the recognition criteria are met. Likewise, when a major inspection is performed, its cost is recognized in the carrying amount of the property, plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognized in the statement of income as incurred.

Depreciation of an asset starts when it is in the location and condition necessary for it to be capable of operating in the manner intended by management, and is computed using the straight-line method according to the estimated useful life of the asset as follows:

	<u>Depreciation %</u>
Buildings	2.5%
Machinery and equipment	6.7%-10%
Motor vehicles	10% - 20%
Tools	15%
Computers and software	20% -25%
Furniture and fixtures	10%-20%

2-2-5 Property, plant and equipment and its depreciation

Property, plant and equipment are derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset is included in the statement of income when the asset is derecognized.

The assets residual values, useful lives and methods of depreciation are reviewed at each financial year end.

The Company assesses at each reporting date whether there is an indication that property, plant and equipment may be impaired. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. Impairment losses are recognized in the statement of income.

A previously recognized impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognized. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the statement of income.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES STATEMENTS (Continued)

2-2 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES (Continued)

2-2-6 Projects under construction

Projects under construction represent the amounts that are incurred for the purpose of constructing or purchasing property, plant, and equipment until it is ready to be used in the operation, upon which it is transferred to property, plant, and equipment. Projects under construction are valued at cost less impairment if any.

2-2-7 Investments in Associates

Investment in associates is investment in an entity over which the Company has a significant influence, but it is neither a subsidiary company nor a joint venture project. Significant influence exists when the company directly or indirectly owns 20% or more of the voting rights in the invested company, unless in exceptional circumstances, it can be clearly determined that such ownership does not constitute influence.

Investments in associate companies are accounted for in the consolidated financial statements using equity method accordingly, investment is initially recognized at cost, including the cost of the acquisition, and then adjusted with the change in the company's share in the net assets of the sister company during the post-acquisition period, and includes profits and losses of its share in the associate's income statement, also, the other comprehensive income of the Company is including the share in the other comprehensive income of the associate.

The book value of the investment is reduced by dividend distribution obtained from the associate company.

2-2-8 Treasury bills

In accordance with the requirements of Egyptian Accounting Standard No. (47) "Financial Instruments", treasury bills have been classified on the basis of their measurement - later - at amortized cost through profits or losses, and treasury bills that are being purchased are valued at the nominal value and the difference between the purchase cost and the nominal value is recorded as a deferred investment return of treasury bills and it is amortized with the value of the treasury bills proceeds due "Interest" for the financial period through profits or losses until the maturity date of the treasury bills, and the tax due on the treasury bills returns is recorded, and upon collection, the discounted tax is recorded in the statement of financial position until it is settled with the annual tax return.

2-2-9 Inventories

Inventory items are evaluated as follows:

- a) **Raw materials and spare parts:** at purchase cost on a weighted average basis.
- b) **Work in process:** Based on the cost of production, the last stage that has been completed according to the lists of costs or net realizable value, whichever is less. The cost includes direct materials, direct labor and a share of indirect industrial costs and does not include borrowing costs.
- c) **Finished goods:** at the lower of the cost of production (based on the costing sheets) or net realizable value.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES STATEMENTS (Continued)

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES (Continued)

2-2-9 Inventories (Continued)

Cost includes direct materials, direct labor and allocated share of manufacturing overhead excluding borrowing cost.

Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to make the sale.

The amount of any write down of inventories to net realizable value and all losses of inventories shall be recognized in cost of sales in the statement of income in the year the write down or loss occurs. The amount of any reversal of any write down of inventories, arising from an increase in net realizable value, shall be recognized as reduction of cost of sales in the statement of income in the year in which the reversal occurs.

2-2-10 Accounts receivable and other receivables

Accounts receivable and other receivables are stated at original invoice amount net of any impairment losses.

The company applies the simplified approach allowed by the Egyptian Accounting Standard No. (47) "Financial Instruments", which requires the recognition of expected credit losses on aging for customers in the statement of profits or losses.

2-2-11 Accounts and notes payable, accrued expenses and other payables.

Liabilities are recognized for amounts to be paid in the future for goods or services received, whether billed by the supplier or not.

2-2-12 Provisions

Provisions are recognized when the Company has a present legal or constructive obligation as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made. Provisions are reviewed at the financial position date and adjusted to reflect the current best estimate.

Where the effect of the time value of money is material, the amount of a provision should be the present value of the expected expenditures required to settle the obligation. Where discounting is used, the increase in the provision due to the passage of time is recognized as a finance cost.

2-2-13 Social Insurance

The Company makes contributions to the Social Insurance Authority calculated as a percentage of the employees' salaries. The Company's obligations are limited to these contributions, which are expensed when due.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES STATEMENTS (Continued)

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES (Continued)

2-2-14 Legal reserve

According to the Company's articles of association, 5% of the net profits of the year is transferred to the legal reserve until this reserve reaches 50% of the issued capital. The reserve is used upon a decision from the general assembly meeting based on the proposal of the board of directors.

2-2-15 Borrowings

Borrowings are initially recognized at the value of the consideration received. Amounts maturing within one year are classified as current liabilities, unless the Company has the right to postpone the settlement for a year exceeding one year after the reporting date, then the loan balance should be classified as long-term liabilities.

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortized cost using the effective interest rate method. Gains and losses are recognized in the income statement when the liabilities are derecognized as well as amortization through the effective interest rate method.

Amortized cost is calculated by considering any discount or premium on acquisition and fee or costs that are an integral part of the effective interest rate. The effective interest rate amortization is included in finance cost in the statement of income.

2-2-16 Income taxes

Income tax is calculated in accordance with the Egyptian tax law.

Current income tax

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities using the tax rates and tax laws that are enacted in Egypt at the reporting date.

The current income tax charge is calculated based on the tax laws enacted at the reporting date in Egypt. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate based on the amounts expected to be paid to the tax authorities.

Deferred income tax

Deferred income tax is recognized using the liability method on temporary differences between the amount attributed to an asset or liability for tax purposes (tax base) and its carrying amount in the balance sheet (accounting base) using the applicable tax rate.

Deferred tax asset is recognized when it is probable that the asset can be utilized to reduce future taxable profits and the asset is reduced by the portion that will not create future benefit.

Current and deferred tax shall be recognized as income or an expense and included in the statement of income for the period, except to the extent that the tax arises from a transaction or an event which is recognized, in the same or a different period, directly in equity.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES STATEMENTS (Continued)

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES (Continued)

2-2-17 Expenses

All expenses including operating expenses, general and administrative expenses and other expenses are recognized and charged to the statement of income in the financial year in which these expenses were incurred.

2-2-18 Borrowing costs

Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset that require a substantial period to get ready for its intended use or sale, are capitalized as part of the cost of the asset. Other borrowing costs are expensed in the period in which they are incurred. Borrowing costs are the interest and other costs that a company incurs to borrow money.

2-2-19 Employees Training Provision

This provision shall be formed in implementation of the provisions of the Labor law 12 of 2003, the decisions and regulations implementing it. This law came to regulate all labor relations between workers and employers in all sectors - the public sector, the public business sector, the private sector, and the investment sector., Under that law, the legislator established the Training and Qualification Fund under the text of Article (133), and the legislator has stipulated that the resources of that fund consist of 1% of the net profits of establishments subject to the provisions of this law, whose number of employees exceeds ten workers. Accordingly, the provision is formed at 1% on the net profit of the enterprise.

2-2-20 Comprehensive Medical Insurance Law

On 11 January 2018, Law No. 2 of 2018 the Comprehensive Health Insurance Law was issued, which comes into effect on the day following the expiration of six months from the date of its publication in the official publications. This law added financial burdens to employers, Employers are obliged to pay their share of the contributions of their employees at 4% per month from the wage of the insured worker and not less than LE 50 per month. The employers are obliged to pay their monthly contributions to the Social Insurance Authority.

Business owners are also obligated to make a comprehensive income contribution of (0.0025) two and a half per thousand of the total annual revenues of individual establishments and companies, regardless of their nature or the legal system to which they are subject. This contribution is not considered one of the deductible costs in applying the provisions of the income tax law, and the Ministry of Finance is responsible for Collect this comprehensive income contribution according to the institution's financial report submitted to the Tax Authority

2-2-21 Related party transactions

Related parties represent associated companies, major shareholders, directors and key management personnel of the Company, and entities controlled, jointly controlled, or significantly influenced by such parties. The terms and pricing policies for transactions with related parties are determined in accordance with the concluded contracts, and the prices of inter-transactions are determined according to the prices of dealing with third parties, and all legal procedures are taken to approve those transactions.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES STATEMENTS (Continued)

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES (Continued)

2-2-22 Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either in the principal market for the asset or liability or the most advantageous market for the asset or liability.

2-2-22 Fair Value Measurement

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, if market participants act in their economic best interest.

A fair value measurement of a non-financial asset considers a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

For assets traded in an active market, fair value is determined by reference to quoted market bid prices.

The fair value of interest-bearing items is estimated based on discounted cash flows using interest rates for items with similar terms and risk characteristics.

For unquoted assets, fair value is determined by reference to the market value of a similar asset or is based on the expected discounted cash flows.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the Consolidated financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- *Level 1 – Fair value measurements* are those derived from quoted prices in an active market (that are unadjusted) for identical assets or liabilities.
- *Level 2 – Fair value measurements* are those derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability either directly (i.e., as prices) or indirectly (i.e., derived from prices).
- *Level 3 – Fair value measurements* are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

2-2-23 Contingent Liabilities and Assets

Contingent liabilities are not recognized in the consolidated financial statements. They are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. A contingent asset is not recognized in the consolidated financial statements but is disclosed when an inflow of economic benefits is probable.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES STATEMENTS (Continued)

2-1 SIGNIFICANT ACCOUNTING JUDGMENTS AND ESTIMATES (Continued)

2-2-24 Impairment of assets

Impairment of financial assets

The Company assesses at each balance sheet date whether there is any objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if, and only if, there is objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset and has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

Impairment of non-financial assets

The Company assesses at each balance sheet date whether there is an indication that an asset may be impaired. Where the carrying amount of an asset or cash-generating unit (CGU) exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. Impairment losses are recognized in the statement of profit or loss.

A previously recognized impairment loss is only reversed if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognized. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the statement of profit or loss.

2-2-25 Statement of cash flows

The statement of cash flows is prepared using the indirect method.

2-2-26 Cash and cash equivalent

For preparing the cash flow statement, the cash and cash equivalent comprise cash on hand, current accounts with banks and time deposits maturing within three months less bank overdrafts.

2-2-27 Segment Information

The main business segment of the company is the sector of production and sale of cheese products, the sector of production and sale of juice products, the sector of production and sale of baked goods products and periodic and annual financial reports on all revenues of the company are prepared on the basis of the existence of three main operating sectors and the executive management of the company monitors the operational units separately for the purpose of making decisions on the allocation of resources and performance evaluation.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

3 - PROPERTY, PLANT AND EQUIPMENT

- Fixed assets and right of use assets have been merged and listed in the statement of financial position as follows: -

	31/12/2023	31/12/2022
	LE	L LE
Net book value of fixed assets	747,131,961	655,214,928
Net book value of right of use assets	29,743,887	38,055,442
	<u>776,875,848</u>	<u>693,270,370</u>

	Land	Buildings	Machinery and equipment	Vehicles	Tools	Computers and software	Furniture and fixtures	Total
	LE	LE	LE	LE	LE	LE	LE	LE
Cost								
As of 1 January, 2023	8,221,307	158,627,446	711,789,648	107,379,285	22,516,781	23,778,296	14,792,651	1,047,105,414
Cost of capitalized assets as of 1 January 2023 (First option)	-	-	24,204,416	-	-	-	-	24,204,416
Cost of assets using valuation factor as of 1 January 2023 (third option)	-	-	84,943,271	44,841,551	-	-	-	129,784,822
Additions	-	15,645,621	101,816,506	10,830,518	2,541,184	8,452,617	533,671	139,820,117
Transferred from projects under constructions (Note 4)	-	23,606,172	45,803,223	-	-	-	-	69,409,395
Disposals	-	-	(33,815,607)	(1,166,021)	-	(6,250)	-	(34,987,878)
Disposals of revalued assets (third option) – note (36)	-	-	(150,722)	(73,725)	-	-	-	(224,447)
As of 31 December 2023	8,221,307	197,879,239	934,590,735	161,811,608	25,057,965	32,224,663	15,326,322	1,375,111,839
Accumulated depreciation								
As of 1 January, 2023	-	(21,810,477)	(294,581,818)	(61,783,282)	(16,091,290)	(18,682,826)	(8,935,133)	(421,884,826)
Accumulated depreciation for capitalized assets as of 1 January 2023 (First option)	-	-	(14,556,391)	-	-	-	-	(14,556,391)
Accumulated depreciation for cost adjustments using valuation factor (Third option) as of 1 January 2023	-	-	(74,947,750)	(34,490,757)	-	-	-	(109,438,507)
Depreciation for the year	-	(4,536,924)	(68,566,738)	(9,901,797)	(1,782,168)	(3,414,011)	(1,158,425)	(89,360,063)
Depreciation for capitalized assets (first option)	-	-	(2,344,521)	-	-	-	-	(2,344,521)
Depreciation for assets using valuation factor (Third option) - note (35)	-	-	(3,993,550)	(2,715,626)	-	-	-	(6,709,176)
Disposals	-	-	15,045,263	1,067,660	-	6,250	-	16,119,173
Disposals of revalued assets	-	-	150,722	43,711	-	-	-	194,433
As of 31 December, 2023	-	(26,347,401)	(443,794,783)	(107,780,091)	(17,873,458)	(22,090,587)	(10,093,558)	(627,979,878)
Net book value as of 31 December 2023	<u>8,221,307</u>	<u>171,531,838</u>	<u>490,795,952</u>	<u>54,031,517</u>	<u>7,184,507</u>	<u>10,134,076</u>	<u>5,232,764</u>	<u>747,131,961</u>
Net book value as of 31 December 2022	<u>8,221,307</u>	<u>136,816,969</u>	<u>436,851,376</u>	<u>55,946,797</u>	<u>6,425,491</u>	<u>5,095,470</u>	<u>5,857,518</u>	<u>655,214,928</u>

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

3 - PROPERTY, PLANT AND EQUIPMENT (Continued)

- The cost of fixed assets as of 31 December 2023 includes EGP 142,562,036 which represents fully depreciated assets that are still in use.

Depreciation expense is allocated as follows:

	31/12/2023
	LE
Cost of sales	81,381,861
Selling and marketing expenses (note 20)	14,120,953
General and administrative expenses (note 21)	2,910,946
	<u>98,413,760</u>

Disposals of property, plant and equipment represent the sale of some assets as follows:

	31/12/2023	LE
Sale of assets	LE	
Proceeds from sales of property, plant and equipment	30,119,740	
Cost of disposed property, plant and equipment		35,212,325
Accumulated depreciation relating to disposals		(16,313,606)
Net book value of disposed property, plant, and equipment		<u>18,898,719</u>
Gain from sale of property, plant, and equipment (note 22)		<u>11,221,021</u>

Depreciation expense is also allocated as follows:

	31/12/2023
	LE
Depreciation for the year	89,360,063
Depreciation for the year (First option)	2,344,521
Depreciation for the year (Third option)	6,709,176
	<u>98,413,760</u>

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

3 - PROPERTY, PLANT AND EQUIPMENT (Continued)

RIGHT OF USE ASSETS

As of 1 January 2023,			
Disposals	Buildings	Machines and equipment	Total
	LE	LE	LE
As of 31 December 2023,	43,719,848	13,196,762	56,916,610
	(5,199,905)	-	(5,199,905)
	<u>38,519,943</u>	<u>13,196,762</u>	<u>51,716,705</u>

Accumulated Depreciation

As of 1 January 2023,			
Depreciation for the year	Buildings	Machines and equipment	Total
Disposals	LE	LE	LE
As of 31 December, 2023	(17,028,281)	(1,832,887)	(18,861,168)
	(7,211,825)	(1,099,730)	(8,311,555)
	<u>5,199,905</u>	<u>(2,932,617)</u>	<u>5,199,905</u>
Net Book Value as of 31 December 2023	(19,040,201)	10,264,145	29,743,887
	<u>19,479,742</u>	<u>11,363,875</u>	<u>38,055,442</u>
Net Book Value as of 31 December 2022	<u>26,691,567</u>		

Depreciation expense also allocated as follows:

	31/12/2023
	LE
Cost of sales	5,050,276
Selling and marketing expenses (note 20)	3,151,161
General and administrative expenses (note 21)	110,118
	<u>8,311,555</u>

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

3 - PROPERTY, PLANT AND EQUIPMENT

- Fixed assets and right of use assets have been merged and listed in the statement of financial position as follows: -

	31/12/2022	31/12/2021
	LE	LE
Net book value of fixed assets	655,214,928	682,347,875
Net book value of right of use assets	38,055,442	48,423,089
	<u>693,270,370</u>	<u>730,770,964</u>

Net book value of fixed assets

Net book value of right of use assets

Cost

As of 1 January, 2022

Cost of capitalized assets as of 1 January 2022 (First option)

Cost of assets using valuation factor as of 1 January 2022 (third option)

Additions

Transferred from projects under constructions (Note 4)

Disposals

Disposals of revalued assets (third option) -

As of 31 December, 2022

Accumulated depreciation

As of 1 January, 2022

Accumulated depreciation for capitalized assets as of 1 January 2022 (First option)

Accumulated depreciation for cost adjustments using valuation factor (Third option) as of 1 January 2022

Depreciation for the year

Depreciation for capitalized assets (first option)

Depreciation for assets using valuation factor (Third option) - note (35)

Disposals

Disposals of revalued assets

As of 31 December, 2022

Net book value as of 31 December 2022

Net book value as of 31 December 2021

	Land LE	Buildings LE	Machinery and equipment LE	Vehicles LE	Tools LE	Computers and software LE	Furniture and fixtures LE	Total LE
As of 1 January, 2022	8,221,307	132,954,352	691,146,179	98,903,928	20,919,408	22,375,622	13,288,629	987,809,425
Cost of capitalized assets as of 1 January 2022 (First option)	-	-	24,204,416	-	-	-	-	24,204,416
Cost of assets using valuation factor as of 1 January 2022 (third option)	-	-	84,943,271	45,119,127	-	-	-	130,062,398
Additions	-	2,265,654	19,450,243	9,136,582	1,597,373	1,404,873	1,504,022	35,358,747
Transferred from projects under constructions (Note 4)	-	23,407,440	1,193,226	-	-	-	-	24,600,666
Disposals	-	-	-	(661,225)	-	(2,199)	-	(663,424)
Disposals of revalued assets (third option) -	-	-	-	(277,576)	-	-	-	(277,576)
As of 31 December, 2022	<u>8,221,307</u>	<u>158,627,446</u>	<u>820,937,335</u>	<u>152,220,836</u>	<u>22,516,781</u>	<u>23,778,296</u>	<u>14,792,651</u>	<u>1,201,094,652</u>
Accumulated depreciation	-	(18,189,286)	(234,973,625)	(54,204,390)	(14,141,302)	(15,947,646)	(7,839,211)	(345,295,460)
As of 1 January, 2022	-	-	(12,211,870)	-	-	-	-	(12,211,870)
Accumulated depreciation for cost adjustments using valuation factor (Third option) as of 1 January 2022	-	-	(70,286,652)	(31,934,382)	-	-	-	(102,221,034)
Depreciation for the year	-	(3,621,191)	(59,608,193)	(7,920,194)	(1,949,988)	(2,736,463)	(1,095,922)	(76,931,951)
Depreciation for capitalized assets (first option)	-	-	(2,344,521)	-	-	-	-	(2,344,521)
Depreciation for assets using valuation factor (Third option) - note (35)	-	-	(4,661,098)	(2,726,482)	-	-	-	(7,387,580)
Disposals	-	-	-	341,302	-	1,283	-	342,585
Disposals of revalued assets	-	-	-	170,107	-	-	-	170,107
As of 31 December, 2022	<u>-</u>	<u>(21,810,477)</u>	<u>(384,085,959)</u>	<u>(96,274,039)</u>	<u>(16,091,290)</u>	<u>(18,682,826)</u>	<u>(8,935,133)</u>	<u>(545,879,724)</u>
Net book value as of 31 December 2022	<u>8,221,307</u>	<u>136,816,969</u>	<u>436,851,376</u>	<u>55,946,797</u>	<u>6,425,491</u>	<u>5,095,470</u>	<u>5,857,518</u>	<u>655,214,928</u>
Net book value as of 31 December 2021	<u>8,221,307</u>	<u>114,765,066</u>	<u>482,821,719</u>	<u>57,884,283</u>	<u>6,778,106</u>	<u>6,427,976</u>	<u>5,449,418</u>	<u>682,347,875</u>

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

3 - PROPERTY, PLANT AND EQUIPMENT (Continued)

- The cost of fixed assets as of 31 December 2022 includes EGP 88,368,347 which represents fully depreciated assets that are still in use.

Depreciation expense is allocated as follows:

	31/12/2022
	LE
Cost of sales	72,640,945
Selling and marketing expenses (note 20)	12,699,537
General and administrative expenses (note 21)	1,323,570
	<u>86,664,052</u>

Disposals of property, plant and equipment represent the sale of some assets as follows:

	31/12/2022	LE
Sale of assets		
Proceeds from sales of property, plant and equipment		794,920
Cost of disposed property, plant and equipment	941,000	
Accumulated depreciation relating to disposals	<u>(512,691)</u>	
Net book value of disposed property, plant and equipment		428,309
Gain from sale of property, plant and equipment (note 22)		<u>366,611</u>

Depreciation expense is also allocated as follows:

	31/12/2022
	LE
Depreciation for the year	76,931,951
Depreciation for the year (First option)	2,344,521
Depreciation for the year (Third option)	7,387,580
	<u>86,664,052</u>

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

3 PROPERTY, PLANT AND EQUIPMENT (Continued)

RIGHT OF USE ASSETS

Cost	Buildings	Machines and equipment	Total
As of 1 January 2022,	LE	LE	LE
Additions	44,812,312	13,196,762	58,009,074
Disposals	222,988	-	222,988
As of 31 December 2022,	(1,315,452)	-	(1,315,452)
	43,719,848	13,196,762	56,916,610
Accumulated Depreciation			
As of 1 January 2022,	(8,852,828)	(733,157)	(9,585,985)
Depreciation for the year	(8,631,985)	(1,099,730)	(9,731,715)
Disposals	456,532	-	456,532
As of 31 December 2022,	(17,028,281)	(1,832,887)	(18,861,168)
Net Book Value as of 31 December 2022	26,691,567	11,363,875	38,055,442
Net Book Value as of 31 December 2021	35,959,484	12,463,605	48,423,089

Depreciation expense also allocated as follows:

31/12/2022
LE
Cost of sales
Selling and marketing expenses (note 21)
General and administrative expenses (note 22)
5,050,276
4,318,075
363,364
9,731,715

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

4 PROJECTS UNDER CONSTRUCTION

	31/12/2023	31/12/2022
	LE	LE
1 January	102,537,315	52,487,907
Additions	5,781,613	74,650,074
Transferred to property, plant and equipment (note 3)	(69,409,395)	(24,600,666)
	<u>38,909,533</u>	<u>102,537,315</u>

Projects under construction are analysed as follows:

	31/12/2023	31/12/2022
	LE	LE
Buildings	3,006,140	24,789,664
Machinery and equipment	30,271,589	74,011,535
Software	5,631,804	3,736,116
	<u>38,909,533</u>	<u>102,537,315</u>

5 INVESTMENT IN ASSOCIATES

Subsidiary name	Country	Percentage of investment	Investment value	
			31/12/2023	31/12/2022
			LE	LE
FRIDOM Dairy International for dairy products	Egypt	49,00%	3.365.395	4.018.553

- Movement on the balance of investment in associate is as follows.

	31/12/2023	31/12/2022
	LE	LE
Balance as of 1 January	4,018,553	4,629,853
Equity in losses of associate	(653,158)	(611,300)
Balance	<u>3,365,395</u>	<u>4,018,553</u>

- Fridom Dairy International Company for dairy products "FRIDOM Dairy International" is a joint stock company established in accordance with the provisions of Egyptian law on 19 September 2021, subject to Law No. 159 of 1981.
- The company's authorized capital was set to US\$6,000,000 (six million) US dollars, and the company's issued capital was set at US\$600,000 (six hundred thousand) US dollars, distributed over 1,000,000 (million) shares, the value of each share is US\$0.6. The Arabian Food Industries Company "Domty" contributes to the capital of Fridom Dairy International Company for dairy products by 49%, which represents an amount of \$294,000 (two hundred and ninety-four thousand) dollars.
- **Purpose of Fridom Dairy International, Inc.**
 - Export,
 - General trade in what is permitted by law and distribution of food and dairy products.
- The Board of Directors of Freedom Dairy International (Associate company by 49%) , decided on its meeting held on 14 February 2024 to liquidate Freedom Dairy International

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

6 INVENTORIES

	31/12/2023	31/12/2022
	LE	LE
Raw materials	520,208,509	379,297,099
Spare parts	90,767,536	70,069,130
Work in process	175,541	468,776
Finished goods*	222,844,789	100,043,108
Goods in transit	62,926,440	24,150,169
	<u>896,922,815</u>	<u>574,028,282</u>
Write down of inventory	(1,941,200)	(1,941,200)
	<u>894,981,615</u>	<u>572,087,082</u>

* Finished inventory includes an amount of LE 6,694,369 which represents the cost of sales that expected to be returned, in accordance with Egyptian Accounting Standard No. (48) – Revenue from contracts with customers.

7 ACCOUNTS AND NOTES RECEIVABLE

	31/12/2023	31/12/2022
	LE	LE
Accounts receivable – Local market	821,744,764	557,323,928
Accounts receivable – Export	114,217,081	62,967,127
Notes receivable	99,731,254	52,225,071
	<u>1,035,693,099</u>	<u>672,516,126</u>
Impairment of accounts and notes receivable	(97,508,861)	(80,858,306)
	<u>938,184,238</u>	<u>591,657,820</u>

The movement of provision for impairment of accounts receivables represented as follows:

	2023	2022
	LE	LE
Balance as of 1 January	80,858,306	41,576,654
Charged during the year	16,650,555	39,281,652
Balance	<u>97,508,861</u>	<u>80,858,306</u>

8 PREPAYMENTS AND OTHER DEBIT BALANCES

	31/12/2023	31/12/2022
	LE	LE
Prepaid expenses	12,607,857	7,131,735
Deposits with others	9,726,528	8,172,626
Employees' advances	5,020,397	17,337,691
Advances to suppliers to purchase property, plant and equipment	36,941,004	40,072,315
Amount due from Tax Authority	53,498,092	57,426,387
Advances to suppliers	141,209,929	58,497,310
Letters of credit	332,546	5,277,916
Letters of credit cash cover	-	490,352
Other debit balances	191,465,174	82,749,727
	<u>450,801,527</u>	<u>277,156,059</u>
Impairment of prepayments and other receivables	(15,825,134)	(14,261,742)
	<u>434,976,393</u>	<u>262,894,317</u>

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

8 - PREPAYMENTS AND OTHER DEBIT BALANCES (Continued)

The movement of impairment of prepayments and other debit balances is represented as follows:

	31/12/2023	31/12/2022
	LE	LE
Balance as of 1 January	14,261,742	11,480,629
Charged during the year	1,563,392	2,829,238
No longer required	-	(48,125)
Balance	<u>15,825,134</u>	<u>14,261,742</u>

9 FINANCIAL INVESTMENTS AT AMORTIZED COST (TREASURY BILLS)

	31/12/2023	31/12/2022
	LE	LE
Nominal value of treasury bills	-	466,850,000
Deferred interest from treasury bills	-	(29,255,719)
Withholding tax on the interest charged to (Profit or loss statement)	-	(3,096,544)
	-	434,497,737
Impairment of treasury bills	-	(2,005,886)
Treasury bills balance	<u>-</u>	<u>432,491,851</u>

The movement of impairment of treasury bills is represented as follows:

	31/12/2023	31/12/2022
	LE	LE
Balance as of 1 January	2,005,886	1,421,384
Charged during the year	-	584,502
No longer required during the year	(2,005,886)	-
Balance	<u>-</u>	<u>2,005,886</u>

10 CASH ON HAND AND AT BANKS

	31/12/2023	31/12/2022
	LE	LE
a) Local Currency		
Cash on hand	43,382,384	16,567,330
Checks under collection	46,881,864	45,231,534
Current accounts	91,088,402	36,107,239
Deposits	312,000,000	278,000,000
	<u>493,352,650</u>	<u>375,906,103</u>
b) Foreign currency		
Cash on hand	15,372,024	11,705,559
Current accounts	13,792,865	52,546,826
	<u>29,164,889</u>	<u>64,252,385</u>
	<u>522,517,539</u>	<u>440,158,488</u>

11 PROVISIONS

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

	31/12/2023	31/12/2022
	LE	LE
Balance as of 1 January	22,193,416	6,785,113
Charge for the year	42,528,993	17,360,800
Provisions no longer needed	(3,963,506)	-
Used during the year	(2,900,533)	(1,952,497)
	<u>57,858,370</u>	<u>22,193,416</u>

The balance on 31 December 2023 is expected to be utilized in upcoming years. According to the opinion of the Company's management after taking appropriate technical advice, the outcome of these claims will not give rise to any significant loss beyond the amounts provided at period end.

The information usually required by accounting standards is not disclosed because the management believes that to do so would seriously prejudice the outcome of the negotiation with those parties. These provisions are reviewed by management on an annual basis, and they are adjusted based on latest developments, discussions and agreements with those parties.

12 SHORT TERM CREDIT FACILITIES

	31/12/2023	31/12/2022
	LE	LE
Egyptian pounds	1,363,122,686	1,247,679,118
	<u>1,363,122,686</u>	<u>1,247,679,118</u>

- Credit facilities as of 31 December 2023 represent the used portion of the facilities granted to the company from banks amounting to LE 2,885 billion for the purpose of opening letter of credit and financing the company's ongoing activity. The credit facilities carry on average interest rate of 17.71 % for facilities denominated in Egyptian pound.

13 TRADE AND NOTES PAYABLES

	31/12/2023	31/12/2022
	LE	LE
Trade payables	293,621,165	228,769,872
Notes payable	247,030	1,116,615
	<u>293,868,195</u>	<u>229,886,487</u>

14 ACCRUED EXPENSES AND OTHER CREDIT BALANCES

	31/12/2023	31/12/2022
	LE	LE
Accrued expenses	127,571,521	85,271,864
Deposits from others	1,527,218	2,236,935
Advances from customers	23,915,955	25,494,432
Due to Social Insurance Authority	4,745,892	3,813,496
Tax Authorities	28,269,161	13,436,203
Liability against expected sales return – EAS 48	8,701,896	4,351,947
Other credit balances	4,142,200	3,596,885
	<u>198,873,843</u>	<u>138,201,762</u>

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

15 TERM LOANS

	31/12/2023 LE	31/12/2022 LE
Long term	117,969,038	130,598,717
Short term	65,183,311	28,529,643
	<u>183,152,349</u>	<u>159,128,360</u>

	CIB (1) LE	EALB USD	CIB (2) LE	QNB LE	Total LE
Balance as of 1 January 2023	74,562,708	29,166,381	31,247,019	24,152,252	159,128,360
Proceeds during the year	-	-	11,493,547	42,838,264	54,331,811
Payments during the year	(17,977,482)	(10,552,161)	(6,411,085)	-	(34,940,728)
Forex losses on loans balances	-	4,632,906	-	-	4,632,906
Balance as of 31 December 2023	<u>56,585,226</u>	<u>23,247,126</u>	<u>36,329,481</u>	<u>66,990,516</u>	<u>183,152,349</u>

	CIB (1) LE	HSBC USD	EALB USD	CIB (2) LE	QNB LE	LE
Balance as of 1 January 2022	89,860,530	8,836,800	25,282,718	-	-	123,980,048
Proceeds during the year	-	-	-	31,247,019	24,152,252	55,399,271
Payments during the year	(15,297,822)	(8,836,800)	(6,716,946)	-	-	(30,851,568)
Forex losses on loans balances	-	-	10,600,609	-	-	10,600,609
Balance as of 31 December 2022	<u>74,562,708</u>	<u>-</u>	<u>29,166,381</u>	<u>31,247,019</u>	<u>24,152,252</u>	<u>159,128,360</u>

- Loan from HSBC Bank - Foreign currency loan**

Represents a term loan granted to the Company during 2017, amounting to USD 3.36 million from HSBC Bank to refinance the current loans granted to the company by the bank as a working capital (short-term loans) and covering the deficit resulted from the reduction of local currency value, The loan is repayable over 60 monthly installments. The loan is fully settled in June 2022.

- **Interest rate:** the LIBOR price for 3 months plus a margin of 3% annually.
- **Guarantees:** insurance policies against all risks in favor of the bank as a first beneficiary, covering 110% of the outstanding debts, in addition to a commercial mortgage power of attorney on the physical and intangible assets of the company covering 110% of the amount of financing granted to the company.

The aforementioned power of attorney has been canceled by virtue of a ratification report No. 344 / letter R / for the year 2022, issued by the Banks Authentication Office at the Real Estate Registration and Authentication Authority.

- Loan from Commercial International Bank (1)**

On 15/7/2019 the company signed a medium-term loan contract with The Commercial International Bank (CIB- Egypt), whereby the bank allows Domty to obtain a loan of up to 100 million Egyptian pounds, amounting to LE 100 million from CIB Bank

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

15 TERM LOANS (Continued)

- **Loan from Commercial International Bank (1) (Continued)**

Purpose:

The loan proceeds will be used to finance the company's future expansion plan for the financial year 2019 for the company's new products represented in bakery and beyond with a maximum amount of L.E 100,000,000.

- Issuing letters of credit with maximum period of 365 days, with maximum amount of LE 33 million equivalents to USD 1,737,000.
- The company is committed to repay the loan amount on 20 quarterly installments starting after 18 months from the date of initial withdrawal
- **Interest rate:** a variable rate of the average corridor price announced by the Central Bank of Egypt, in addition to the margin.
- **Guarantees:** An insurance policy issued by an Egyptian insurance company acceptable to the bank and in its favor as a sole beneficiary against the installation risks of machines and equipment financed by the bank, provided that the installation period is covered by 115% of the total financing amount, including the replacement value. And that the policy should include coverage of the risk of riots and civil and labor disturbances at a rate of no less than 25% of the total amount of the policy.

- **Loan from Commercial International Bank (2)**

Represented in the value of medium-term financing granted to the company by the Commercial International Bank on 18/11/2021 (according to the initiative of the Central Bank of Egypt in December 2019) in an amount not exceeding LE 54,000,000 (only fifty-four million Egyptian pounds).

Purpose of the granted funding:

Financing the investment cost of the company related to the local purchase and/or importing part of the fourth production line for the bakery industry, the croissant production line, machinery and equipment, and both the additional costs and the installation cost for them, in accordance with the terms and conditions stipulated in the loan contract.

- The company is committed to repay the financing amount in 20 quarterly installments as soon as the grace period, which is specified for a maximum of twelve months, expires from the date of the first withdrawal of the financing amount or the withdrawal of the total financing amount.
- **The interest rate:** an 8% interest rate applies to the first tranche in accordance with the initiative of the Central Bank of Egypt, and the corridor interest rate for lending announced by the Central Bank of Egypt applies to the second tranche, in addition to the margin.
- **Guarantees:** an insurance policy issued by an Egyptian insurance company acceptable to the bank and in its favor as a single beneficiary, at a rate of 115% of the total amount of financing, including the replacement value, provided that the document includes coverage of the risk of riots and civil and labor disturbances at a rate of no less than 25% of the total amount of the policy.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

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As of 31 December 2023

15 TERM LOANS (Continued)

- **Loan from EALB**

Represents a credit facility in the form of a long-term loan granted to the company by the Egyptian Arab Land Bank during 2019 with a total amount of USD 2,100,000 (only two million and one hundred thousand US dollars only).

The purpose of the granted financing is to finance the import of the bakery production line.

- Loan term: 6 years, including the grace and withdrawal period, with a maximum of 12 months, to be paid in 20 equal quarterly installments
- Interest rate: 3.25% above the 3-month LIBOR rate, with a review of the LIBOR at the end of each fiscal quarter.
- Guarantees: Signing (4) promissory notes, each with a value of 525 thousand US dollars, for use in foreign currency. The company is also committed to allocating part of an insurance policy in favor of the bank, amounting to 110% of the total long-term financing against all risks.

- **Loan from QNB**

It is represented in a loan contract concluded with Qatar National Bank Al Ahli on 26/10/2021 (according to the initiative of the Central Bank of Egypt in December 2019) amounting to 66,000,000 Egyptian pounds (only sixty-six million Egyptian pounds).

The purpose of the granted facility is dedicated to finance production lines with the aim of increasing the production capacity of the industrial activity.

- Loan period: 5 years starting from the date of signing the loan contract and ending on 26/10/2026. This period includes the grace period and the withdrawal period, which is scheduled for one year from the date of the first withdrawal, all provided that the withdrawal conditions established under the loan contract are fulfilled, as well as providing the bank with the documents it deems to allow the withdrawal of loan.

Repayment period: The company is obligated to repay the loan in 16 quarterly installments of equal value from the value of the balance used at the end of the withdrawal period in addition to the applicable return in accordance with the terms and conditions of the loan contract.

- Interest rate: 8% according to the initiative of the Central Bank of Egypt.
- Guarantees: an insurance policy in favor of the bank covering 110% of the loan value on the assets financed by the bank against all risks.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

16 CAPITAL

- The company's authorized capital as of 31 December 2023 amounts to LE 282,608,695 (31 December 2022, LE 282,608,695).
- In 2012, the issued and paid-up capital was LE 30,000,000 divided over 1200000 shares of par value LE 25 each.
- On 30 September 2013 the Extraordinary General Assembly approved the raise of the issued and paid-up capital by LE 20,000,000 divided over 800000 shares at the par value of LE 25 to reach LE 50,000,000 through share dividends of 2 shares for every 3 outstanding shares. The issued and paid-up capital becomes 50,000,000 Egyptian pounds, distributed over 2,000,000 shares, with a nominal value of 25 Egyptian pounds.
- On 21 October 2015, the Extraordinary General Assembly decided the fragmentation of the nominal value of each share from LE 25 to LE 0.2 and was approved in the commercial register on 15 December 2015.
- On 7 April 2016, the Board of Directors decided (authorized by the extraordinary General Assembly in the 15 January 2016) to increase the paid-up capital by LE 6,521,739 distributed over 32608695 shares with a nominal value of LE 0.2 per share then the initial public offering held on the final fair value for the share amounted to LE 9.20 per share were the difference of LE 9 was changed to share premium.
- According to article 94 of the Companies Law No, 159 of 1981 of the executive regulations, an amount of LE 9,366,743 were added from the share premium to the legal reserve, making the legal reserve is half of the issued capital, and a special reserve were charged with the remaining amount of the premium of LE 283,422,423 after deducting the issuance expenses of LE 689,089 and the capital increase was approved in the commercial register on 17 May 2016. Accordingly, the issued and paid-up capital as of 31 December 2023 amounted to LE 56,521,739 divided over 282608695 shares (31 December 2022: LE 56,521,739).
- On 31 March 2021, the Extraordinary General Assembly decided, to reduce the authorized capital from 500,000,000 Egyptian pounds to 282,608,695 Egyptian pounds in accordance with the provisions of Article No. 10 of the rules of listing in the Egyptian Stock Exchange that the authorized capital should not exceed five times the issued capital.
- On 14 September 2023, International Dairy Investment Company acquired 69.55 million shares in Arabian Food Industries (Domty), and acquired a 24.61% stake, the deal was worth 445.84 million LE with an average price of 6.41 LE per share, according to the report of the Egyptian Exchange.

17 RETAINED EARNINGS

The balance of the Consolidated Retained Earnings on 31 December 2023, is as follows:

First: Profit for the year in the amount of 454,438,562 EGP on 31 December 2023

Second: Retained Earnings from previous years with the amount of LE 460,074,396.

Third: The consolidated retained earnings include an amount of LE 4,347,931 on 31 December 2023 (31 December 2022: LE 4,193,619) not available for distribution being the legal reserve of the subsidiary

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

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As of 31 December 2023

18 MACHINES INSTALMENTS

The machine installments represent outstanding installments for the purchased packing machines from the supplier and do not bear interest. The balance is represented as follow:

	31/12/2023 LE	31/12/2022 LE
Not later than one year – current	-	2,106,060
	-	2,106,060

19 INCOME TAXES

	2023 LE	2022 LE
Current income tax	145,982,250	96,823,961
Deferred income tax	(2,607,684)	(11,903,639)
	143,374,566	84,920,322

RECONCILIATION OF THE EFFECTIVE INCOME TAX RATE

	31/12/2023 LE	31/12/2022 LE
Profit before income taxes	545,134,629	312,168,940
Add: Non-deductible expenses		
Accounting depreciation	98,413,760	86,664,052
Provisions formed during the year	60,742,940	60,056,192
Donations	4,056,787	5,552,534
Board of directors' allowances	825,000	750,000
Unrealized debit foreign exchange losses	215,499	577,112
Realized credit foreign exchange differences previously deducted on prior year	17,761,543	1,116,959
Effect of application of Egyptian Accounting Standard (48)	4,349,949	3,174,070
Excess of 7% of documented general and administrative expenses	16,096,260	18,327,033
10% of the value of dividends received from subsidiary El Tatweer	5,836,383	
Comprehensive contribution 0,25%	19,996,861	13,428,920
Cost of investment in treasury bills	1,791,070	1,307,421
Less: Deductible expenses		
Tax depreciation	(131,895,124)	(78,085,744)
Capital gains	(11,221,021)	(366,611)
Previously taxed provisions	(5,969,392)	(48,125)
Provisions used for deductible costs	(1,653,063)	
Donations to registered charities	(640,200)	(2,469,500)
Effect of application of Egyptian Accounting Standards (48)	(3,401,728)	(2,376,605)
Unrealized debit foreign exchange differences previously added to prior year	(577,112)	-
Transactions that are not included in the income statement and are deductible costs	-	(5,867,320)
Unrealized credit foreign exchange gains	(17,878,399)	(17,761,543)
Tax base	601,984,642	396,147,785
Income Tax	24.85% 135,446,544	28.5% 89,133,252
Returns on treasury bills	52,678,528	38,453,547
Tax due on treasury bills returns	20.00% 10,535,706	20.00% 7,690,709
Income taxes at the effective tax rate	24.42% 145,982,250	27.57% 96,823,961

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

19 INCOME TAXES (Continued)

Components of deferred tax liability are as follows:

	31/12/2023	31/12/2022
	LE	LE
Depreciation of Property, plant and equipment	66,849,930	57,005,035
Foreign exchange difference	3,974,153	3,866,497
Impairment of accounts receivables	(14,719,525)	(10,973,150)
Impairment of other debit balances	(2,063,214)	(1,711,451)
Deferred tax for Impairment of treasury bills	406,937	(44,388)
Provisions	(13,652,989)	(4,083,965)
Provisions previously subject to taxes	891,789	-
Provisions used	371,939	-
Deferred tax liability against right of use – EAS49	1,884,512	2,492,638
Deferred Tax Assets resulted from carry forward taxable losses	(5,118,478)	(5,118,478)
Impairment of accounts receivables – retained earnings	(4,900,914)	(4,900,914)
Impairment of other debit balances – retained earnings	(1,356,536)	(1,356,536)
Impairment of treasury bill – retained earnings	(406,937)	(406,937)
Net deferred tax (liability)	<u>32,160,667</u>	<u>34,768,351</u>

20 SELLING AND MARKETING EXPENSES

	2023	2022
	LE	LE
Marketing activities	71,581,906	53,163,891
Advertising activities	111,575,259	73,306,080
Salaries and wages	260,807,223	224,341,915
Warehousing	14,725,352	12,493,309
Vehicles and transportation rent and license	61,868,327	55,178,716
Spare parts and maintenance	58,226,031	41,020,342
Depreciation (Note 3)	14,120,953	12,699,537
Amortization – Right of Use (Note 3)	3,151,161	4,318,075
Insurance	5,177,624	4,271,090
Impairment of account receivables (Note 7)	16,650,555	39,281,652
Freight	55,603,677	53,138,570
Aging and emptying expense	6,987,810	6,241,220
Stationary	5,464,611	3,150,164
Medical care	2,084,610	2,217,100
Others	47,257,088	36,650,953
	<u>735,282,187</u>	<u>621,472,614</u>

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

21 GENERAL AND ADMINISTRATIVE EXPENSES

	2023 LE	2022 LE
Salaries and wages	52,319,447	49,561,420
Board allowances	825,000	750,000
Depreciation (Note 3)	2,910,946	1,323,570
Depreciation – Right of Use (Note 3)	110,118	363,364
Vehicles and transportation rent and license	268,495	1,187,948
Stationary	650,496	455,610
Medical Care	453,852	452,130
Donations	640,200	2,469,500
Impairment of other debit balances (Note 8)	1,563,392	2,829,238
Others	18,313,285	25,484,174
	<u>78,055,261</u>	<u>84,876,954</u>

22 NET OTHER OPERATING INCOME

	2023 LE	2022 LE
Export support subsidy	49,396,859	18,759,183
Marketing support from Tetra Pak Company	11,784,591	3,708,000
Miscellaneous income	3,215,193	3,546,499
Scrap sales	36,188,707	26,820,508
Gain from sale of fixed assets (note 3)	11,221,021	366,611
Gain on disposal of right of use assets	-	90,511
	<u>111,806,371</u>	<u>53,291,312</u>

23 LOSS ON SALE OF TRADING SECURITIES

	2023 LE	2022 LE
Purchase of Trading Securities	-	80,005,902
Sale of Trading Securities	-	(62,129,015)
	<u>-</u>	<u>17,876,887</u>

24 FINANCE INCOME

	2023 LE	2022 LE
Interest of treasury bills	52,678,528	38,453,547
Interest of deposit	8,707,699	594,705
	<u>61,386,227</u>	<u>39,048,252</u>

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

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As of 31 December 2023

25 FINANCE EXPENSES

	2023	2022
	LE	LE
Interest on loans and credit facilities	281,475,693	113,534,943
Interest Expense – lease liability	3,727,374	4,311,150
Losses (Gain) from foreign exchange differences	(656,076)	3,137,793
	<u>284,546,991</u>	<u>120,983,886</u>

26 CONTINGENT LIABILITIES

As of 31 December 2023, the Group had contingent liabilities in respect of banks' letter of guarantees issued by the banks amounting to LE 11,804,000 (31 December 2022: LE 6,550,000). And it is anticipated that no actual liability will arise as a result of these letters.

27 MERGER RESERVE

Merger reserve represents the difference between the nominal value of the shares of the subsidiary acquired in the common control transaction and the cash paid as consideration for such acquisition, until the date of the common control transaction, the merger reserve represents the nominal value of the shares of the subsidiary owned by the controlling shareholders of the parent, cash consideration paid by the company to the controlling shareholders for the purchase of the subsidiary shares on 30 April 2014 has been reflected as a distribution.

28 EARNING PER SHARE

Basic and diluted earnings per share are calculated by dividing the net profit for the year attributable to the equity holders of the Parent by the weighted average number of shares outstanding during the year. The share in profits is calculated after deducting the share of employees and board of directors which is calculated in an estimated manner to reach the shareholders share in profits.

	31/12/2023	31/12/2022
	LE	LE
Net profit for the year	454,438,562	265,701,857
Employees and Board of directors' dividends*	(86,060,718)	(50,200,744)
Net profit available for distribution to shareholders of the parent	<u>368,377,844</u>	<u>215,501,113</u>
Number of shares outstanding	<u>282608695</u>	<u>282608695</u>
Basic and diluted earnings per share	<u>1.30</u>	<u>0.76</u>

* According to the Egyptian law, employees and Board of Directors members are entitled to a percentage of the company's profit as a profit sharing when dividends are declared. There are no shares with a downward effect and therefore the basic and diluted share are equal in the net profit for the year.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

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29 CAPITAL COMMITMENTS

The balance of the company's contracted capital commitments as of 31 December 2023 amounted to LE 39,088,931 (31 December 2022: LE 46,174,353) as follows:

31 December 2023	Contract amount	Paid amount	Un-paid amount
	LE	LE	LE
Machines and equipment	51,563,708	(17,435,783)	34,127,925
Buildings	21,723,068	(16,762,062)	4,961,006
	<u>73,286,776</u>	<u>(34,197,845)</u>	<u>39,088,931</u>
31 December 2022	Contract amount	Paid amount	Un-paid amount
	LE	LE	LE
Machines and equipment	66,818,643	(22,697,533)	44,122,110
Buildings	11,614,402	(9,561,159)	2,053,243
	<u>78,433,045</u>	<u>(32,258,692)</u>	<u>46,174,353</u>

30 LEASE LIABILITY

Applying the Egyptian accounting standard No.49, lease liability balance as of 31 December 2023 amounted to LE 33,732,544 as follows:

	31/12/2023	31/12/2022
	LE	LE
Balance as of 1 January 2023	43,772,145	49,961,855
Additions during the year	-	222,988
Terminated lease contracts	-	(949,431)
Accretion interest	3,727,374	4,311,150
Foreign currency exchange losses	1,811,069	4,562,101
Instalments paid through the year	(15,578,044)	(14,336,518)
Balance as of 31 December 2023	<u>33,732,544</u>	<u>43,772,145</u>
Less than one year	11,865,775	11,850,672
More than one year and less than five years	<u>21,866,769</u>	<u>31,921,473</u>
	<u>33,732,544</u>	<u>43,772,145</u>

31 SEGMENT REPORTING

In 2012, the company was operating in one segment – dairy products, from September 2013, the Company started the production of juice and from September 2018, the Company started the production of Bakery products therefore the Company started to operate into three segments as follows:

- Dairy products
- Juice products
- Bakery products

The Executive Management Committee monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on gross profits and is measured consistently with profit or loss in the consolidated financial statements, However the Group's financing (including finance costs and finance income) and income taxes are managed on a Group basis and are not allocated to operating segments.

The amount of each segment item reported shall be the measure reported to the chief operating officer decision maker for the purposes of making decisions about allocating resources to the segment and assessing its performance.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

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31 SEGMENT REPORTING (Continued)

Primary segments results – related products for the year ended 31 December 2023 are as follows:

	<u>Dairy products</u>	<u>Juice products</u>	<u>Bakery products</u>	<u>Total</u>
	LE	LE	LE	LE
Segment sales	6,000,234,954	504,694,052	1,199,281,330	7,704,210,336
Sales discounts – Egyptian Accounting Standards (48)	(183,695,804)	(3,324,055)	(8,390,658)	(195,410,517)
Liability against sales returns	(8,026,747)	(675,149)	-	(8,701,896)
Liability against sales returns no longer required	3,913,289	438,658	-	4,351,947
Segment cost of sales	(4,574,801,327)	(415,902,687)	(937,432,966)	(5,928,136,980)
Cost of sales returns	6,132,745	561,624	-	6,694,369
Cost of sales returns no longer required	(2,922,675)	(369,966)	-	(3,292,641)
Gross profit	<u>1,240,834,435</u>	<u>85,422,477</u>	<u>253,457,706</u>	<u>1,579,714,618</u>
Operating expenses net of other operating income				(738,743,836)
Finance income				61,386,227
Finance expenses				(284,546,991)
Medical insurance contribution				(19,996,861)
Income tax expenses				(143,374,566)
Net profit for the year				<u>454,438,591</u>

	<u>Dairy products</u>	<u>Juice products</u>	<u>Bakery products</u>	<u>Unallocated</u>	<u>Total</u>
Depreciation for the year	(22,089,514)	(16,867,966)	(29,609,258)	(20,793,325)	(89,360,063)
Depreciation for the year (First option)	(1,486,019)	(858,502)	-	-	(2,344,521)
Depreciation for the year (Third option)	(1,425,454)	(2,568,096)	-	(2,715,626)	(6,709,176)
Depreciation – Right of use assets	(549,865)	(549,865)	-	(7,211,825)	(8,311,555)
	<u>(25,550,852)</u>	<u>(20,844,429)</u>	<u>(29,609,258)</u>	<u>(30,720,776)</u>	<u>(106,725,315)</u>

Primary segments results – related products for year ended 31 December 2022 are as follows:

	<u>Dairy products</u>	<u>Juice products</u>	<u>Bakery products</u>	<u>Total</u>
	LE	LE	LE	LE
Segment sales	3,851,457,331	389,675,202	979,914,983	5,221,047,516
Sales discounts – Egyptian Accounting Standards (48)	(123,642,202)	(3,662,631)	(8,508,018)	(135,812,851)
Liability against sales returns	(2,882,436)	(291,634)	-	(3,174,070)
Segment cost of sales	(2,937,989,289)	(325,339,240)	(685,678,010)	(3,949,006,539)
Cost of sales returns	2,135,105	241,500	-	2,376,605
Gross profit	<u>789,078,509</u>	<u>60,623,197</u>	<u>285,728,955</u>	<u>1,135,430,661</u>
Operating expenses net of other operating income				(671,566,733)
Loss on sale of trading securities				(17,876,887)
Finance income				39,048,252
Finance expenses				(120,983,886)
Medical insurance contribution				(13,428,920)
Income tax expenses				(84,920,322)
Net profit for the year				<u>265,702,165</u>

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

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As of 31 December 2023

31 SEGMENT REPORTING (Continued)

	<u>Dairy products</u>	<u>Juice products</u>	<u>Bakery products</u>	<u>Unallocated</u>	<u>Total</u>
Depreciation for the year	(22,425,321)	(17,488,975)	(19,693,897)	(17,323,758)	(76,931,951)
Depreciation for the year (First option)	(1,486,019)	(858,502)	-	-	(2,344,521)
Depreciation for the year (Third option)	(1,823,141)	(2,837,957)	-	(2,726,482)	(7,387,580)
Depreciation – Right of use assets	(549,865)	(549,865)	-	(8,631,985)	(9,731,715)
	<u>(26,284,346)</u>	<u>(21,735,299)</u>	<u>(19,693,897)</u>	<u>(28,682,225)</u>	<u>(96,395,767)</u>

Segments Assets

31 December 2023	<u>Dairy products</u>	<u>Juice products</u>	<u>Bakery products</u>	<u>Unallocated</u>	<u>Total</u>
	LE	LE	LE	LE	LE
Total assets	105,403,345	93,880,428	278,206,702	3,081,665,568	3,559,156,043
Capitalized assets (First option)	5,157,251	2,146,256	-	-	7,303,507
Revaluated assets (Third option)	1,214,513	4,787,457	-	7,605,154	13,607,124
Right of use assets	5,132,073	5,132,072	-	19,479,742	29,743,887
Total assets	<u>116,907,182</u>	<u>105,946,213</u>	<u>278,206,702</u>	<u>3,108,750,464</u>	<u>3,609,810,561</u>

Segments Assets

31 December 2022	<u>Dairy products</u>	<u>Juice products</u>	<u>Bakery products</u>	<u>Unallocated</u>	<u>Total</u>
	LE	LE	LE	LE	LE
Total assets	119,992,995	127,618,461	169,596,374	2,613,858,184	3,031,066,014
Capitalized assets (First option)	6,643,267	3,004,758	-	-	9,648,025
Revaluated assets (Third option)	2,639,968	7,355,553	-	10,350,794	20,346,315
Right of use assets	5,681,937	5,681,938	-	26,691,567	38,055,442
Total assets	<u>134,958,167</u>	<u>143,660,710</u>	<u>169,596,374</u>	<u>2,650,900,545</u>	<u>3,099,115,796</u>

Secondary segment results – geographical sales by areas for the year ended 31 December 2023 are as follows:

Geographical areas

Local

	<u>31/12/2023</u>	<u>31/12/2022</u>
	LE	LE
Cairo	3,598,650,062	2,450,840,648
Alexandria	821,330,527	537,325,340
Delta	1,223,790,214	972,969,726
Upper Egypt	1,453,788,161	979,771,663
	<u>7,097,558,964</u>	<u>4,940,907,377</u>
	606,651,372	280,140,139
	<u>7,704,210,336</u>	<u>5,221,047,516</u>
Sales returns provision	(4,349,949)	(3,174,070)
Sales discount	(195,410,517)	(135,812,851)
	<u>7,504,449,870</u>	<u>5,082,060,595</u>

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

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32 TAX POSITION

32-1 Arabian food industries company (DOMTY)

a) Corporate taxes

The Company was exempted from corporate taxes for ten years started from the commencement of operation till 31 December 2000.

The company submitted the tax declarations from inception until 2019 and they were inspected by the Tax Authorities and are currently being settled.

The company submitted the tax declaration for the year 2020 till 2021 to large taxpayers' center and the large taxpayers center has notified the company of a (form 19 – estimated) and it was appealed, and the data and documents were prepared and submitted to large taxpayer center and waiting for re-examination.

The company submitted the tax declaration for the year 2022 at the legal dates.

b) Sales taxes / Value added tax

The Company's records were inspected and all taxes due were paid for the years from the commencement of operation till 30/11/2020.

From December 2020 till December 2023, the company submitted the sales tax returns on monthly basis and at the legal dates, and no notification was received from the tax authority examining those years.

c) Salary taxes

From commencement of operation till 31 December 2022, the Company's records were inspected and all taxes due were paid.

Year 2023

According to the Unified Tax Procedures Law No. 206 of 2020 amended by Law 211 of 2020, the company has prepared and submitted the 2023 adjustment to the tax system on the legal date.

d) Stamp duty taxes

For all years till 31 December 2015, stamp duty taxes have been inspected by the Tax Authority and paid by the Company.

Period from 1/1/2016 to 26/1/2022

The company calculates the tax on advertisements and submit them regularly, and the calculated tax has been paid, considering the provisions of Law No. 3 of 2022, issued on 01/26/2022 and published in the Official Gazette at number 33/E.

Period from 27/1/2022 to 31/12/2023

The company calculates the tax on gas consumption and the other bases in addition to the development fee, and the company pays the tax regularly based on the subject form.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

32 TAX SITUATION (Continued)

32-1 Arabian food industries company (DOMTY) (Continued)

e) Withholding tax

From commencement of operation till 31 December 2015, the Company's records were inspected and all taxes due were paid.

The Company withholds tax from suppliers and service providers in accordance with tax law.

f) Real Estate tax

A decision was issued by the appeals committee regarding the real estate tax, the company was notified and objected it against the administrative court, the company settled the tax due regarding the decision of the appeals committee to avoid delay penalties, as well as the payment of the tax for the period until December 2021.

On August 30, 2022, Prime Minister Resolution No. 61 of 2022 was issued, which decided in its first article that the Ministry of Finance bears the full value of the "tax on constructed real estate" due on the constructed real estate used in the exercise of a number of activities, including the activity of food industries, starting from 1/1/ 2022 for a period of three years.

32-2 El Tatweer for Food Industries Company

a) Corporate taxes

From commencement of operation till 2019

The company submitted tax returns on the legal time, and all tax disputes were examined and settled.

Years from 2020-2022

The company submitted the tax return on the legal date, and there was no notification from the Investment Authority or the large taxpayers center (2) of the examination to date.

b) Sales taxes / Value added tax

From the commencement of operation till December 2023, the Company submitted the sales tax returns on monthly basis with the legal dates and no notification has been received from the Tax Authority for inspection to date.

c) Stamp Taxes

The years from the beginning of the activity until 31/12/2015, The period from 8/3/2009 to 31/12/2015 was assessed and the company appealed to the result of the examination.

For the period from 1/1/2016 to 31/12/2023, no notification was received from tax authority regarding that period.

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As of 31 December 2023

32 TAX SITUATION (Continued)

32-1 Arabian food industries company (DOMTY) (Continued)

32-2 El Tatweer for Food Industries Company (Continued)

d) Salary taxes

From commencement of operation till December 2019

The company submitted tax returns, and all tax disputes were examined and settled.

TAX SITUATION (Continued)

For the year 2023

According of the Unified Tax Procedures Law No. 206 of 2020 amended by Law 211 of 2020, the company has prepared and submitted the period 2023 adjustment to the tax system on the legal date.

Period (from 1/1/2023 to 31/12/2023),

The company calculates the tax due on employees and workers and it is paid monthly on the legal date.

e) Withholding tax

The Company withholds tax on its transactions in accordance with the tax law.

33 Related Party Transactions

The total amount received by the members of the senior management amounted to 69,711,740 Egyptian pounds for the fiscal year ending on 31 December 2023 compared to 47,759,308 EGP for the year ended 31 December 2022

34 RISK MANAGEMENT

a) Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates, The Company is exposed to interest rate risk on its interest-bearing liabilities, banks credit facilities and long-term loans.

31/12/2023			31/12/2022		
	Change in interest rate	Effect on profit before tax LE		Change in interest rate	Effect on profit before tax LE
Liabilities	+1%	(16,410,397)		+1%	(14,653,624)
	-1%	16,410,397		-1%	14,653,624

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34 RISK MANAGEMENT (Continued)

b) Foreign Currency Risk

The foreign currency risk is the risk that the value of the financial assets and liabilities and the related cash inflows and outflows in foreign currencies will fluctuate due to changes in foreign currency exchange rates. The total financial assets denominated in foreign currencies amount to LE 202,783,786 (31 December 2022: LE 168,033,342) whereas the total financial liabilities denominated in foreign currencies amounts to LE 68,131,214 (31 December 2022: LE 149,040,492).

- The following table shows the extent of the acceptable potential change of the US dollar exchange rate, holding all other variables constant. The impact on the company's pre-tax income is caused by changes in the value of assets and financial liabilities. It should be noted that any changes in the exchange rates of other foreign currencies are not significant.

The following table shows the extent of the acceptable potential change of foreign currencies exchange rate:

	31 December 2023		31 December 2022	
	Change in exchange rate	Effect on pre-tax income LE	Change in exchange rate	Effect on pre-tax income LE
USD	+10%	12,450,830	+10%	2,484,559
	-10%	(12,450,830)	-10%	(2,484,559)
Euro	+10%	986,105	+10%	(524,289)
	-10%	(986,105)	-10%	524,289
Sterling pound	+10%	18,896	+10%	14,289
	-10%	(18,896)	-10%	(14,289)
Emirates Dirham	+10%	8,661	+10%	7,960
	-10%	(8,661)	-10%	(7,960)
Saudi Riyal	+10%	756	+10%	-
	-10%	(756)	-10%	-

c) Credit Risk

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss.

The Company seeks to limit its credit risk with respect to banks by applying many control procedures include credit limits and only dealing with reputable banks.

The Company seeks to limit its credit risk with respect to customers by

- Setting credit limits for all customers according to an internal evaluation policy.
- Assessing the customer's credit status in accordance with tight credit limits.
- Follow up on current customer balances.

The company avoids credit risks by applying many supervisory measures, and the company's dealings are limited to highly credit-efficient financial institutions.

Arabian Food Industries Company (DOMTY) – S.A.E and its subsidiary

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As of 31 December 2023

34 RISK MANAGEMENT (Continued)

d) Liquidity risk

The Company's objective is to maintain a balance between continuity of funding and flexibility through the use of loans and finance lease. The company uses credit limits and monitors the loans due dates.

Financial Liabilities	Less than 3 months	From 3 to 12 months	From 1 to 5 years	More than 5 years	Total
31 December 2023					
Loans	15,980,565	49,202,746	117,969,038	-	183,152,349
Suppliers, accrued expenses and other payables	492,495,008	-	-	-	492,495,008
Lease Liability	3,914,727	10,518,996	25,465,091	-	39,898,814
Short term credit facilities	1,363,122,686	-	-	-	1,363,122,686
Income tax payable	145,982,250	-	-	-	145,982,250
Notes payable	247,030	-	12,910	-	259,940
Total undiscounted financial liabilities	2,021,742,266	59,721,742	143,447,039	-	2,224,911,047
31 December 2022					
Loans	6,864,140	21,665,503	130,598,717	-	159,128,360
Suppliers, accrued expenses and other payables	366,780,710	-	-	-	366,780,710
Short term credit facilities	1,247,679,118	-	-	-	1,247,679,118
Lease Liabilities	4,215,170	9,558,277	39,898,815	-	53,672,212
Sales tax payable on plant and equipment	190,924	-	-	-	190,924
Income tax payable	96,961,473	-	-	-	96,961,473
Notes payable	1,116,615	-	10,337	-	1,126,952
Total undiscounted financial liabilities	1,723,808,150	31,223,730	170,507,869	-	1,925,539,749

e) Capital risk management

The company manages its capital to ensure that it will continue in sufficient level while maximising the return to the shareholders through the optimisation of debt-to-equity balance. The company's overall strategy remains unchanged during the period.

35 FAIR VALUE OF FINANCIAL INSTRUMENTS

The Company's financial instruments are represented in financial assets and financial liabilities, The financial assets include cash on hands and banks, trade and notes receivables, due from related parties, and other receivables. The financial liabilities include trade and notes payables, term loans, short term credit facilities, machinery instalments, long term notes payable and other payables.

The significant accounting policies applied for the recognition and measurement of the above - mentioned financial assets and liabilities and the related income and expenses are included in note (2) of the notes to the financial statements.

The fair values of financial assets and liabilities do not differ materially from their carrying values, unless otherwise stated.

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36 PROPERTY, PLANT AND EQUIPMENT REVALUATION SURPLUS

	31/12/2023	31/12/2022
	LE	LE
Balance As of 1 January	25,045,008	32,540,057
Deduct		
Transferred to retained earnings from machinery revaluation surplus (Depreciation)	(3,993,550)	(4,661,098)
Transferred to retained earnings from vehicles revaluation surplus (Depreciation)	(2,715,626)	(2,726,482)
Transferred to retained earnings from vehicles revaluation surplus (Disposal)	(30,014)	(107,469)
	<u>18,305,818</u>	<u>25,045,008</u>

37 SIGNIFICANT EVENTS

On 30 March 2023, the Central Bank of Egypt decided to increase the overnight deposit and lending rates and CBE rate of principal operation, by 200 basis points, to 18.25%, 19.25, and 18.75%, respectively. Credit and discount rates were also raised by 200 basis points, reaching to 18.75%.

On 3 August 2023, the Monetary Policy Committee decided to increase the overnight deposit and lending rates and CBE rate of principal operation, by 100 basis points, to 19.25%, 20.25%, and 19.75%, respectively. Credit and discount rates were also raised by 100 basis points, reaching to 19.75%.

On 14 September 2023, International Dairy Investment bought 69.55 million shares in Arabian Food Industries Company (Domty) and acquired a stake of 24.61% in it. The deal was carried out at a value of LE 445.84 million with the average share price of LE 6.41, according to the stock market details.

During the financial year, Standard & Poor's downgraded Egypt's sovereign foreign and local currency rating from B to B- with a stable outlook, and Moody's downgraded Egypt's sovereign rating from B3 to Caa1, with a future stable outlook.

The impact of the current uncertain economic environment is discretionary, and management will continue evaluating the current situation and its impact regularly. It must be taken into consideration that the assumptions used regarding the economic speculations are subject to a high level of uncertainty and so, actual results may vary greatly from expectations. The company took into consideration the potential effects of the current fluctuations in the economy in determining the amounts of financial and non-financial assets of the Company and represents the best management assessment based on available information. And yet, the markets remain volatile, and the amounts remain highly sensitive to market volatility.

Subsequent Events

On 1 February 2024, the Monetary Policy Committee of the Central Bank of Egypt decided to raise the overnight deposit and lending rates and the rate of the main operation of the Central Bank by 200 basis points to reach 21.25%, 22.25% and 21.75%, respectively, and the credit and discount rate was raised by 200 basis points to reach 21.75%.

The Board of Directors held on 14 February 2024 decided to liquidate Freedom Dairy International Company for Dairy Products (a sister company) for not practicing the activity, in which Domty contributes 49% of the capital, noting that the paid-up capital is 600 thousand US dollars, and the legal procedures for liquidation are under way.

On 6 March 2024, the Central Bank of Egypt's Monetary Policy Committee decided to raise the overnight deposit and lending rates and the main operation rate of the Central Bank by 600 basis points to reach 27.25%, 28.25% and 27.75%, respectively, and the credit and discount rate was raised by 600 basis points to reach 27.75%.

The Central Bank of Egypt also decided to allow the exchange rate to be determined according to market mechanisms. The exchange rates of the Egyptian pound against the dollar and some other currencies have also fallen.

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38- Comparative figures

Comparative figures are reclassified as often as necessary to align with changes in the presentation used for the current year.